

complaint

Mrs M complains that UK Insurance Limited (UKI) took a long time to send its loss adjuster in response to her claim for roof damage, and then unfairly rejected her claim.

background

Mrs M said her roof suffered a leak under heavy snow which she reported to UKI on 2 March 2018 under her building insurance policy. She said it took 25 days for the loss adjuster to come out only to be told that she wasn't covered. Mrs M said UKI should've provided emergency roof repairs as her property was in a dangerous condition. She said UKI told her to leave her alternative accommodation and she said she had to make other arrangements.

UKI said Mrs M notified her claim on 6 March 2018 and its loss adjuster assessed the roof damage on 27 March and concluded it wasn't due to an insured peril, such as storm or flood, but mainly due to the condition and age of the roof. The report said the weather highlighted the problem, but if the roof had been in good condition it would have withstood the snowfall. UKI said it didn't provide emergency repairs as Mrs M didn't hold Home Emergency cover.

UKI accepted Mrs M's claim for internal repairs under the accidental damage part of her policy. It accepted it had caused delays and apologised for late notice that her alternative accommodation had been extended. UKI paid Mrs M £200 compensation. The investigator gained UKI's agreement to extend Mrs M's stay in paid-for alternative accommodation.

The investigator said that both parties had caused delays and UKI didn't tell Mrs M she could have alternative accommodation, and later that it would be extended. She said the weather at the time of the damage didn't amount to a storm and so it was fair for UKI to decline the claim for the external damage. She said Mrs M's policy doesn't cover wear and tear and there was nothing to contradict the expert report that this was the cause of the damage.

The investigator said UKI hadn't handled the claim well and had added to Mrs M's distress, particularly about her safety in the home and the availability of alternative accommodation. She said UKI should pay Mrs M £300 compensation in addition to the £200 it has already paid for the distress and inconvenience it caused her.

Mrs M disagreed with the investigator saying she wants UKI to pay her bill for the repair of her roof as it's covered under her policy. She said UKI has now refused to cover the internal damage and our service should be doing more to help her. UKI said it would cover the internal damage but Mrs M had refused permission for its contractor to visit her property.

UKI also disagreed with the investigator, saying it was willing to offer further compensation of £150 above its previous payment of £200, but thought that its service didn't warrant an increase of £300 as recommended by the investigator.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Mrs M has other complaints about her insurance and these will be considered separately if she brings them to our service. I've looked closely at UKI's decisions and handling of Mrs M's claim to see if it has acted within the terms of her policy, and treated her fairly.

I sympathise with Mrs M for the damage she suffered from the snowfall. Mrs M said the roof damage was covered by the terms of the policy, however, it's worth noting that not all risks to a building are covered by a building insurance policy. For a claim to be successful the loss or damage must fall within one of the insured perils set out within the policy, in Mrs M's case this would have to be an escape of water, or a storm. An escape of water must occur from a fixed utility, or pipe, and a storm must meet storm conditions. The weather conditions don't approach the criteria for a snow storm in Mrs M's case.

UKI said the roof damage was due to wear and tear. Mrs M's policy, in common with other buildings insurance, contains an exclusion for claims due to wear and tear. The reason is that insurers don't want building insurance cover to be used as a maintenance contract.

When the parties disagree about the cause of damage we rely on available expert evidence. In this case that has only been provided by UKI's loss adjuster who states that the flat roof had probably reached the end of its life and was suffering from wear and tear. UKI invited Mrs M to provide a report from a local builder that it would consider, but she hasn't done so.

From the loss adjuster's report, I'm satisfied that the primary cause of damage to Mrs M's roof was wear and tear, and so it was fair and reasonable for UKI to decline to cover this part of her claim. I'm pleased that UKI has now completed the internal repairs having accepted liability under Mrs M's accidental damage cover.

I have looked at the service UKI provided to Mrs M. I'm pleased UKI apologised to Mrs M for the delay in sending a loss adjuster to assess her claim. I can understand how distressing this must have been with water leaking through the roof. There were occasions when her alternative accommodation was extended, but she wasn't told by UKI. As a result she was under the impression that she had nowhere to stay which caused her unnecessary worry.

I agree with the investigator that UKI's poor service added to the distress Mrs M suffered after her claim and I think that UKI should pay a further £300 compensation to her for this.

my final decision

For the reasons I have given it is my final decision that the complaint is upheld in part and I require UK Insurance Limited to pay Mrs M a total of £500 compensation (including the £200 it has already paid) for the impact its poor service had upon Mrs M.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs M to accept or reject my decision before 27 December 2018.

Andrew Fraser
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